

# Credit Management

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**Course:** CCP — Certified Credit Professionals

**Level:** Level I

**Last updated:** 28 July 2026

**Syllabus version:** Based on the standard KASNEB CCP Level I Credit Management syllabus topics — nature and role of credit, the credit cycle, credit policy, assessment of credit applications, monitoring and control of debtors, and debt recovery. Authored from general professional credit-management knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

**Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The worked example and practice questions are original scenarios.

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## 1. Nature and importance of credit

**Credit** is an arrangement where a seller allows a buyer to take goods, services, or funds now and pay for them later, on agreed terms. Credit matters to a business because it:

- Widens the pool of customers who can afford to buy, growing sales volume.
- Builds customer loyalty and repeat business through an ongoing trading relationship.
- Is a normal feature of business-to-business trade, where most transactions are not paid in cash on the spot.

The flip side: credit ties up cash in debtors, and carries the risk that some customers will pay late or not at all. Credit management exists to balance these two forces — enough credit to win and keep customers, without so much risk that the business runs out of cash or absorbs unacceptable bad debts.

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## 2. The credit cycle

The credit cycle describes the stages a credit transaction moves through:

1. **Credit application** — the customer applies for credit terms.
  2. **Credit assessment** — the business evaluates whether, and how much, credit to grant.
  3. **Credit approval and terms setting** — a credit limit and payment terms are set.
  4. **Order fulfilment and invoicing** — goods/services are supplied and invoiced.
  5. **Monitoring** — the business tracks whether the customer is paying within terms.
  6. **Collection** — following up on overdue amounts.
  7. **Review** — the credit limit and terms are periodically reassessed based on payment history.
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## 3. The 5 Cs of credit assessment

A widely used framework for judging whether to extend credit to a customer:

- **Character** — the customer's reputation for honesty and willingness to repay.
- **Capacity** — the customer's ability to generate enough cash flow to repay.
- **Capital** — the customer's own financial resources/net worth as a cushion.
- **Collateral** — security offered against the credit granted, if any.

- **Conditions** — the broader economic and industry conditions affecting the customer's business.
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## 4. Types of credit facilities

- **Trade credit** — a supplier allows a business customer to pay for goods after delivery, typically within 30–90 days.
  - **Overdraft** — a bank facility allowing a current account to go into a pre-agreed negative balance.
  - **Term loan** — a fixed amount borrowed and repaid over a set period, usually with interest.
  - **Invoice discounting/factoring** — a business sells or borrows against its outstanding invoices to release cash before customers pay.
  - **Instalment/hire purchase credit** — the buyer pays for an asset in instalments while using it, with ownership often transferring only after the final payment.
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## 5. Credit policy

A **credit policy** is a business's formal, written approach to granting and managing credit. It typically sets out:

- Who is authorised to approve credit, and up to what limit.
- The standard credit period and any early-payment discounts offered.
- The information required to assess a new credit application (e.g. references, financial statements).
- The escalation steps once an account becomes overdue.

A credit policy can sit anywhere on a spectrum from **restrictive** (strict limits, short terms, aggressive follow-up — protects cash flow but may cost sales) to **liberal** (generous limits, longer terms, lighter follow-up — wins sales but increases bad-debt risk). The right position depends on the business's cash position, industry norms, and risk appetite.

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## 6. Assessing a credit application

Typical steps in assessing a new credit application:

- Obtain the applicant's basic details and the credit amount/terms requested.
- Request trade references from other suppliers the applicant already deals with.
- Request a bank reference and, where available, recent financial statements.

- Check any available credit bureau/reference bureau report.
  - Assess the applicant using the 5 Cs framework (Section 3).
  - Set an initial credit limit appropriate to the assessed risk, often lower than requested for a new customer, with a review after a trial period.
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## 7. Monitoring and controlling debtors

Once credit is granted, ongoing control includes:

- **Ageing analysis** — categorising outstanding debtor balances by how overdue they are (e.g. current, 30, 60, 90+ days), to spot deteriorating accounts early.
  - **Debtor days (average collection period)** — a summary measure of how long, on average, it takes to collect from customers (see the worked example in Section 12).
  - **Credit limit reviews** — periodically raising limits for reliable payers and tightening or withdrawing them for poor payers.
  - **Exception reporting** — flagging accounts that exceed their credit limit or fall significantly behind on payment terms for prompt follow-up.
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## 8. Bad debts and provisions for doubtful debts

- A **bad debt** is a specific amount a business has concluded it will not collect and writes off as a loss.
  - A **provision for doubtful debts** is an estimate, made in advance, of debtors currently on the books that may turn out uncollectible — it is a prudent adjustment to reported profit and to the debtors balance shown in the financial statements, not yet a confirmed loss.
  - Provisions are commonly estimated either specifically (account by account, based on known risk) or generally (a percentage applied to the overall debtors balance, often varied by how overdue each ageing band is).
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## 9. Debt collection process and techniques

A typical escalating collection process:

1. **Friendly reminder** — a routine statement or reminder as the due date approaches or just passes.

2. **Formal follow-up** — a phone call or written notice once an account is clearly overdue, seeking a firm payment commitment.
3. **Final demand letter** — a formal written demand, often specifying a deadline and the consequence of continued non-payment (e.g. suspension of further credit, legal action).
4. **Escalation** — referral to a debt collection agency, or the start of legal recovery action.

Good collection practice balances firmness with maintaining the customer relationship where the business wants to keep the customer once the debt is resolved.

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## 10. Legal remedies for debt recovery

Where informal collection fails, a creditor may pursue formal legal remedies, commonly including:

- A **demand letter** from an advocate, formally putting the debtor on notice before court action.
- **Civil suit** for recovery of the debt through the courts, leading to a judgment if undefended or successful.
- **Execution of judgment** — once a judgment is obtained, enforcement mechanisms (e.g. attachment and sale of the debtor's property) may be used to satisfy it.
- **Insolvency/bankruptcy proceedings**, where appropriate, if the debtor is unable to pay debts generally rather than just this one obligation.

Legal recovery is typically the slowest and most expensive option, and is generally pursued only once reasonable informal efforts have failed.

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## 11. The role of a credit manager

- Designing and enforcing the organisation's credit policy.
  - Assessing new credit applications and setting/reviewing credit limits.
  - Monitoring the debtors ledger and ageing profile.
  - Managing the collections process and escalating problem accounts appropriately.
  - Balancing the sales team's desire to extend credit generously against the finance function's need to protect cash flow and minimise bad debts.
  - Reporting on debtor performance (e.g. debtor days, bad debt ratio) to senior management.
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## 12. Full worked question — debtor days and provision for doubtful debts

**Scenario.** Amani Traders had the following figures for the year ended 31 December 2025:

- Credit sales for the year: KES 18,000,000
- Trade debtors at 31 December 2025: KES 2,400,000
- Management wishes to maintain a general provision for doubtful debts of 5% of year-end trade debtors.

**Required:** (a) Compute the debtor days (average collection period) for the year. (b) Compute the required provision for doubtful debts.

**Solution:**

(a) Debtor days = (Trade debtors ÷ Credit sales) × 365

= (2,400,000 ÷ 18,000,000) × 365

= 0.1333 × 365

= **48.7 days** (approximately 49 days)

*Interpretation:* on average, it takes Amani Traders about 49 days to collect payment after a credit sale.

(b) Provision for doubtful debts = 5% × 2,400,000 = **KES 120,000**

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## 13. Practice examination — KASNEB-style paper (original, not a past paper)

**Note on format.** This section is laid out the way a KASNEB CCP examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

### CCP LEVEL I — CREDIT MANAGEMENT (PRACTICE PAPER)

**TIME ALLOWED: 3 HOURS**

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.*

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### QUESTION ONE

- (a) Explain the "5 Cs" framework used in assessing a credit application. *(10 marks)*
- (b) Outline the stages of the credit cycle, from application to review. *(10 marks)*

*(Total: 20 marks)*

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## **QUESTION TWO**

- (a) Distinguish between a "restrictive" and a "liberal" credit policy, and explain one risk of each. *(8 marks)*
- (b) Explain FOUR pieces of information a business should gather before approving a new credit application. *(8 marks)*
- (c) Explain the purpose of an ageing analysis of trade debtors. *(4 marks)*

*(Total: 20 marks)*

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## **QUESTION THREE**

Furaha Distributors had credit sales of KES 24,000,000 for the year ended 31 December 2025 and trade debtors of KES 3,600,000 at that date. Management wishes to maintain a general provision for doubtful debts of 4% of year-end trade debtors.

Required:

- (a) Compute the debtor days (average collection period) for the year. *(8 marks)*
- (b) Compute the required provision for doubtful debts. *(4 marks)*
- (c) Distinguish between a "bad debt" and a "provision for doubtful debts." *(8 marks)*

*(Total: 20 marks)*

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## **QUESTION FOUR**

- (a) Outline the stages of a typical debt collection process, from a routine reminder to formal legal action. *(10 marks)*
- (b) Explain TWO legal remedies available to a creditor once informal debt collection has failed. *(10 marks)*

*(Total: 20 marks)*

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## **QUESTION FIVE**

- (a) Explain FIVE responsibilities of a credit manager in a trading organisation. *(10 marks)*

(b) Explain why a business might choose to grant trade credit even though it increases the risk of bad debts. (6 marks)

(c) State TWO types of credit facilities other than ordinary trade credit. (4 marks)

(Total: 20 marks)

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## 14. Marking guide — model answers to the practice examination

### QUESTION ONE

(a) (10 marks — 2 marks each) — Character (reputation/willingness to repay); Capacity (ability to generate cash flow to repay); Capital (own financial resources as a cushion); Collateral (security offered); Conditions (broader economic/industry conditions affecting the customer).

(b) (10 marks) — Credit application → credit assessment → credit approval and terms setting → order fulfilment and invoicing → monitoring → collection → periodic review of the limit/terms based on payment history.

### QUESTION TWO

(a) (8 marks) — A restrictive policy sets strict limits, short terms and aggressive follow-up: it protects cash flow but risks losing price/terms-sensitive customers to more generous competitors. A liberal policy sets generous limits, longer terms and lighter follow-up: it wins and retains sales but increases exposure to late payment and bad debts.

(b) (8 marks — 2 marks each, any four) — Trade references from other suppliers; a bank reference; recent financial statements; a credit bureau/reference report; the amount and terms of credit requested.

(c) (4 marks) — It categorises outstanding balances by how overdue they are, so deteriorating accounts can be identified and followed up before they become large bad debts.

### QUESTION THREE

(a) (8 marks) — Debtor days =  $(3,600,000 \div 24,000,000) \times 365 = 0.15 \times 365 = \mathbf{54.75 \text{ days}}$  (approximately 55 days).

(b) (4 marks) — Provision =  $4\% \times 3,600,000 = \mathbf{KES 144,000}$ .

(c) (8 marks) — A bad debt is a specific amount already concluded to be uncollectible and written off as a confirmed loss. A provision for doubtful debts is a prudent advance estimate against debtors still on the books that may turn out uncollectible — it adjusts reported profit/debtors in anticipation, without yet writing off any specific balance.

### QUESTION FOUR



(a) (10 marks) — Friendly reminder (routine statement/reminder near or just after the due date) → formal follow-up (call/written notice once clearly overdue, seeking a firm commitment) → final demand letter (formal written demand with a deadline and stated consequence) → escalation (referral to a collection agency or start of legal action).

(b) (10 marks — any two, 5 marks each) — A demand letter from an advocate formally putting the debtor on notice before suing; a civil suit for recovery through the courts leading to a judgment; execution of judgment (e.g. attachment and sale of the debtor's property) to enforce an obtained judgment; insolvency/bankruptcy proceedings where the debtor cannot pay debts generally.

## QUESTION FIVE

(a) (10 marks — 2 marks each, any five) — Designing/enforcing credit policy; assessing applications and setting/reviewing limits; monitoring the debtors ledger and ageing profile; managing collections and escalating problem accounts; reporting debtor performance to management.

(b) (6 marks) — Credit widens the pool of affordable customers, grows sales volume, and builds an ongoing loyal trading relationship — benefits that can outweigh the bad-debt risk if managed with a sound credit policy and monitoring.

(c) (4 marks — any two) — Overdraft; term loan; invoice discounting/factoring; instalment/hire purchase credit.

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## 15. Exam technique and revision checklist

- Debtor days questions: always use the formula  $(\text{Trade debtors} \div \text{Credit sales}) \times 365$ , and state the answer in days with a one-line interpretation — examiners reward showing you understand what the number means, not just calculating it.
- The 5 Cs are commonly tested individually ("explain Capacity") and as a set ("list and explain the 5 Cs") — know both the names and a one-line explanation of each.
- Always distinguish a bad debt (confirmed, specific, written off) from a provision (estimated, precautionary, not yet a confirmed loss) — this distinction is very frequently examined.
- Debt-recovery questions: present the escalation ladder in order (reminder → formal follow-up → demand letter → legal/agency escalation) rather than jumping straight to "sue them."
- Credit policy questions: always explain the trade-off (sales growth vs cash flow/bad-debt risk) rather than describing only one side.

**Quick revision — one line per topic:**

1. Credit widens the customer base and builds loyalty, but ties up cash and carries default risk.
  2. The credit cycle: application → assessment → approval/terms → fulfilment → monitoring → collection → review.
  3. The 5 Cs: Character, Capacity, Capital, Collateral, Conditions.
  4. A restrictive credit policy protects cash flow; a liberal one grows sales but raises bad-debt risk.
  5. Debtor days =  $(\text{Trade debtors} \div \text{Credit sales}) \times 365$ .
  6. A bad debt is written off and confirmed; a provision is an estimate against debtors still on the books.
  7. Collection escalates from a friendly reminder to a formal demand letter to legal/agency action.
  8. Legal remedies include demand letters, civil suit, execution of judgment, and insolvency proceedings.
  9. A credit manager balances the sales team's appetite for credit against the finance function's need to protect cash.
  10. Credit facilities include trade credit, overdraft, term loans, invoice discounting/factoring, and instalment credit.
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*End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.*